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Enhancing Female Entrepreneurship and Employment

in the MSME Sector in Maharashtra



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Introduction

India has about 63 million micro, small, and medium enterprises (MSMEs). The MSMEs already contribute around 30% to India's GDP and close to 50% to exports.¹ They account for almost 40% of India's manufacturing output and create around 11.10 crore jobs.² MSMEs have the capacity to generate employment, nurture entrepreneurship and bring in significant gains by plugging themselves into global value chains. The MSME sector in India has shown remarkable resilience even under the current trying domestic and global economic circumstances.

Another, often-overlooked contribution of the MSME sector is its potential to accelerate the economic inclusion of typically underrepresented groups, such as women. Indeed, MSMEs record a relatively higher female labour participation rate (24% in 2021) than other industries.³ However, this figure is still dismally low in absolute terms, and has stagnated over time. When it came to leadership roles in MSMEs, female participation was no more than 10% in 2021.⁴ Only 14% of all entrepreneurs are women, of which around 79% are small and self-financed.⁵

Compared to their male-owned counterparts, female-owned MSMEs are fewer in number, smaller in scale and concentrated in different industries. Around 19.7 million MSMEs are involved in manufacturing, 23 million in trade, and 20.6 million in other services. Of these, only 15 million MSMEs are women-owned and 70% of them are involved in manufacturing, particularly in textiles, apparel, handicraft, and food and beverages.⁶ Over 99% of MSMEs come under the 'Micro' category, with only 0.52% (or 331,000) enterprises coming under the 'Small' category, and 0.01% (or 5,000) enterprises coming under the 'Medium' category.⁷ Within these categories, no more than 20% of micro businesses, 5% of small businesses and 2% of medium-sized businesses are owned by women.⁸

In this context, we propose a roundtable focused on women in the MSME sector and the policy issues they face. The roundtable aims to provide a closed-door platform to discuss the opportunities and challenges associated with female entrepreneurship and workforce participation at the ground level, in order to collate policy recommendations towards improving the ecosystem for women in the MSME sector.

1. "Contribution of MSMEs to GDP", Ministry of Micro, Small, and Medium Enterprises, Press Information Bureau, Government of India, 9th August 2021. Release ID: 1744032. <https://www.pib.gov.in/PressReleasePage.aspx?PRID=1744032>
2. "2.2.4 Employment", Annual Report 2021-22, Ministry of Micro, Small, and Medium Enterprises, Government of India: . 28.
3. "Employment Trends in MSME Sector", Ciel HR Services, 2021.
4. Ciel HR Services, 2021.
5. Global Entrepreneurship Monitor India National Report 2020-21: . 10.
6. "Opportunities and constraints of women-owned very small enterprises in India", International Finance Corporation, 2022: . 4-5. <https://www.ifc.org/wps/wcm/connect/2da6ccb4-5f11-4c25-8937-5a78ed26e9ce/Opportunities-and-Constraints-of-WVSEs-in-India.pdf?MOD=AJPERES&CVID=nZG2110>
7. "2.2.1 Estimated number of MSMEs in country", Annual Report 2021-22, Ministry of Micro, Small, and Medium Enterprises, Government of India: . 26.
8. MSME Annual Report 2020-21.

Challenges Faced by Women Entrepreneurs:

Focus Areas⁹



FINANCIAL INCLUSION

Many women entrepreneurs tend to resort to self-financing or informal sources of finance (often with higher interest rates), due to the lack of technical know-how or insufficient credit history. A vast majority of women do not have assets in their name to leverage as collateral. High documentation requirements present further obstacles to obtaining credit. However, the gender gap in financing is not merely due to the lack of collateral: credit received by women is only 27 % of the deposits they contribute, compared to 52 % for men.



TECHNOLOGICAL GAP

Most women entrepreneurs participate in sectors requiring low technical education and start-up capital, such as traditional goods or services (pickles, papad, dairy, handloom, cosmetics, etc.). Women have low representation in sectors like metallurgy, electronics, minerals, pharmaceuticals, aeronautics, etc., which require a higher level of technological sophistication and present significant barriers to entry. Women must be continually educated and qualified in all practical fields of business administration and STEM to gain technical expertise and experience.



MARKET CONNECT

Women entrepreneurs have limited access to industry contacts, professional networks, mechanisms and know-how that are necessary for running and growing a business. Women participating in the MSME activities may be more active on the production front rather than business management and product marketing. Market linkages are poor as MSMEs are located far from consumer markets and interactions with buyers are infrequent. Women are further hindered by low geographical mobility. As a result, female-owned MSMEs are unable to scale up and are largely micro-enterprises.



REGULATORY AID

Registration is a cumbersome process: Registering a business requires compliance with various norms like GST, labour regulations, electricity load, etc., which fall under the ambit of multiple regulators. This presents a challenge for MSMEs as a whole, but particularly for women. While there are many state and central schemes, subsidies, incentives, tax/duty exemptions, etc. in place to support entrepreneurs, there is a need to improve awareness and take-up to translate them into improved outcomes.

9. The following papers informed our selection of focus areas: Opportunities and Challenges faced by Women Entrepreneurs in India. Gupta and Aggarwal (2015) Women's Access to Banking in India: Policy Context, Trends and Predictions. Chavan (2020) Women Entrepreneurship in Odisha: Current Status, Challenges and Future Prospects. Swagatika Nanda (2017)

Apart from the above-mentioned challenges, many of the challenges faced by women can be attributed to the sociocultural fabric of society, which has not sufficiently empowered them. This shortfall is evident in various forms, including stereotypes that hinder women's access to education and technical training, confine them to unpaid care work, and enforce occupational sex

segregation. These factors collectively impede their growth. Therefore, socio-cultural emancipation is essential for the advancement of women. The secondary research provides ample evidence of multifaceted challenges faced by women entrepreneurs. The section below sheds light on a few of them.

Secondary Research: Challenges faced by Women Entrepreneurs in Maharashtra

Patil et al. (2023)¹⁰ assessed the challenges faced by women entrepreneurs of Maharashtra by conducting a field survey during the Covid pandemic and highlighted that sustaining and establishing a market connect was the biggest challenge faced by women entrepreneurs of the state. Even businesses that were 10 years old found it difficult to get new customers 69% of the time. Moreover, those businesses also faced hardships maintaining their existing customer base (54% of the time). The second biggest challenge was access to credit and funds, with about 43% of businesses reporting a lack of funds as a significant issue. The percentage was much higher for businesses which were less than 10 years old.

Balamurugan & Thomas (2021)¹¹ delve into the challenges faced by women entrepreneurs in Mumbai region through a field survey of 140 participants. More than 50% of respondents

agreed that there is a 'lack of entrepreneurial spirit' among women. Additionally, over 55% expressed difficulties in building market connections for their businesses. A similar percentage cited 'lack of access to finance' as a major hurdle. About 40% of women also reported biased social attitudes between males and females, highlighting the presence of a male-dominated society.

This suggests that the factors affecting female entrepreneurship have not changed much over the years. A study by Sugaraj & Salve (2014) on female entrepreneurs in Pune, based on the All India Census on MSME (2006-07), identified several significant constraints: lack of motivation and confidence, role conflicts, insufficient leadership qualities, orthodox family backgrounds, lack of finance, and challenges in maintaining work-life balance.

10. Patil, Y.V., et al. (2023). A Critical Study on Financial Issues Confronted In Coronavirus Crisis by Women Entrepreneurs in Maharashtra. South India Journal of Social Sciences, 30(1). https://www.researchgate.net/profile/Deepak-Sharma-119/publication/371071465_A_Critical_Study_on_Financial_Issues_Confronted_in_Coronavirus_Crisis_by_Women/links/6470e7afa25e543829cee2da/A-Critical-Study-on-Financial-Issues-Confronted-in-Coronavirus-Crisis-by-Women.pdf

11. Balamurugan, P. & Thomas, T. (2021). A Study on Challenges Faced by Women Entrepreneurs in Mumbai Region. Elementary Education Online, 20(2). <https://ilkogretim-online.org/index.php/pub/article/view/2392>

MSME Sectors, Schemes, and Clusters in Maharashtra

The state of Maharashtra comprises 36 districts, 109 sub-divisions, and 357 talukas. It spans over 308,000 km², making it the third-largest state in India. Maharashtra is bordered by Gujarat, Madhya Pradesh, Chhattisgarh, Telangana, Karnataka, Goa, and Dadra and Nagar Haveli and Daman and Diu. According to the 2011 Census, the state's population stands at 112,374,333, of which 58,243,056 are males and 54,131,277 are females. Furthermore, 45.20% of the residents are urban, while 54.80% are rural, with an average literacy rate of 82.30%.

In 2024, the sex ratio in the state was approximately 108 males for every 100 females, indicating there are about 5,100,000 more males¹² than females. In terms of economic value, Maharashtra is the largest economy in India, equalling 13.5% of the national GDP, with a state GDP of 40,44,251 crore (2023-24).¹³ It is also the second largest exporter of India contributing 16% to total exports along with being the recipient of highest FDI inflows in the country. With over 4.5 million registered MSMEs, the state has the largest number of MSMEs in India. Moreover, the state has shown exceptional commitment towards inclusivity with 35.5%

of enterprises under women-ownership. Additionally, the state also provides for the third highest employment generation by women-owned MSMEs in India.¹⁴

For the facilitation of the sector, the MSME department of the state has several bodies under its administrative control. These include Maharashtra Industrial Development Corporation, Maharashtra Industry, Trade, and Investment Facilitation Cell, MSME Development & Facilitation Office, among others.¹⁵ The state also has a Single Window Portal to simplify the approval, clearance, licencing, and the renewal procedures and provides for more than 44 different services under its ambit.¹⁶ In totality, the state has ensured a holistic and conducive business ecosystem for MSMEs to thrive with accessible support from government bodies and agencies at the disposal of all entrepreneurs including women.

₹40.44 Lakh Cr

**State GDP (2023-24) · 13.5%
of India's GDP · Largest economy in India**

Sectors

Maharashtra is an attractive destination for investment due to its skilled manpower and abundance of resources. The state has a diverse range of industries, including automobiles, textiles, chemicals, and pharmaceuticals, which contribute significantly to its economic growth. It is also a leading state in the services sector, with Mumbai being the hub for the banking, finance, and insurance sectors.¹⁷

12. <https://statisticstimes.com/demographics/india/maharashtra-population.php>

13. https://mahades.maharashtra.gov.in/ESM1920/chapter/English/esm2324_e.pdf

14. <https://pib.gov.in/PressReleaseIframePage.aspx?PRID=2002574>

15. http://di.maharashtra.gov.in/_layouts/15/doistaticsite/English/index.html

16. http://di.maharashtra.gov.in/_layouts/15/SecurityFramework/Forms/External/ExternalLogin.aspx#:~:text=There%20are%2044%20departmental%20services,Thank%20You.

17. <https://mahasdb.maharashtra.gov.in/DSP/aboutProgram>

Some of the focus and sunrise sectors classified by the government of Maharashtra are¹⁸

Focus Sectors are established sectors in the state which have proved to be inclusive and successful over the past decades.

- Agriculture and Allied Sectors including crop, livestock, horticulture, fishing and aquaculture, and mining and quarrying
- Manufacturing including leather, furniture, electronics, and textiles
- Construction, Real Estate, and Logistics
- Services including health and tourism



Sunrise sectors are emerging sectors which have high growth potential. These are: -

- Electrical vehicles
- Aerospace and defence manufacturing
- Auto and auto components ecosystem
- Chemical sector
- Defence sector
- Electronic system design and manufacturing
- Food processing sector
- Gems and jewellery sector
- Information technology

Clusters of Focus

Textiles and Apparel

Maharashtra's place in the Indian textile industry was marked with the establishment of the Bombay Spinning and Weaving Company cotton mill in 1854, which commemorated India's expansion into the modern cotton industry.¹⁹ Ever since then, the textile industry has had a strong historical legacy and has driven economic growth in Maharashtra. Textile businesses in the state flourish across the value chain, from cotton cultivation to the production of finished garments. Maharashtra is the second largest cotton producer in India, with fertile land conducive to cotton cultivation, providing a reliable source of raw materials for the textile industry.²⁰ As a result, Maharashtra undertakes 10.4% of the country's total textile and apparel production and makes a 16% contribution to India's textile and apparel exports.²¹

As per the Maharashtra Industrial Development Corporation (MIDC), the textile sector has a 2.9% share in the Gross State Domestic Product, and a 6.2% share in the Industrial Gross State Domestic Product.²² There are more than 40 textile clusters and 8 garment clusters in the state identified under the MSE-CDP scheme.²³ During 2019-20, there were 188 spinning and 36 composite textile mills, with an installed capacity of 4.9 million spindles and 43,863 rotors.²⁴ The state's rich heritage of handloom textiles includes the traditional fabrics of Paithani, Himro, Karvat Kathi, Khana, and Ghongadi.²⁵ Through cutting-edge innovation, the state is also transitioning to technical textiles (i.e. fabrics designed for performance rather than decoration, such as personal protective equipment, fishing nets, sportswear, etc.)



Major Textile Hubs in Maharashtra, Source: Maharashtra Industrial Development Corporation, Link

18. <https://mahasdb.maharashtra.gov.in/DSP/home>

19. Charting Maharashtra's Path to Becoming a Textile Hub. Financial Express. March 2024. <https://www.financialexpress.com/business/industry/charting-maharashtra-path-to-becoming-a-textile-hub/3437427/>

20. Bharat Tex 2025: Global Textile Expo Website. Accessed August 2024. https://www.bharat-tex.com/partner/statepartner_maharashtra.html#:~:text=Maharashtra%20a%20land%20of%20diversity,of%20state's%20attire%20and%20culture.

21. Ibid.

22. Maharashtra Industrial Development Corporation. <https://www.midcindia.org/focus-sectors/textile/>

23. Ibid.

24. Ibid.

25. Bharat Tex 2025: Global Textile Expo Website. Accessed August 2024. https://www.bharat-tex.com/partner/statepartner_maharashtra.html#:~:text=Maharashtra%20a%20land%20of%20diversity,of%20state's%20attire%20and%20culture.

However, the textiles sector of Maharashtra continues to face the following challenges that require attention if the industry is to grow to its fullest potential.²⁶

- Characteristic of the MSME sector, the textile industry is highly fragmented (being only 5% formalised), leading to a lack of coordination and cohesion throughout the supply chain and subsequently, suboptimal processes and resources.
- The sector continues to depend on traditional methods of production, given financial challenges preventing the upgradation of technology.
- Approximately 70% of the workers in the unorganised textiles sector have received little to no formal education, working using the skills passed on through generations.
- The sector relies overly on labour-intensive processes and has been slow to embrace the latest technology, leading to suboptimal production and a failure to unlock the massive export potential of the industry.
- Awareness of sunrise sectors within the textiles and apparel industry, such as technical textiles, is lacking.
- There is insufficient emphasis on quality testing and assurance in the value chain, which can lead to a failure to meet international export standards and consumer expectations.

Agro and Dairy Processing

Food processing involves the transformation of raw products from agriculture, dairy, animal husbandry, meat, poultry, or fishing into final products that have commercial value, are suitable for human and animal consumption, and have enhanced quality and shelf life. The food processing industry holds great potential to modernise and revitalise the growth of the agricultural industry. As per the Maharashtra Industrial Development Corporation (MIDC), the share of the food processing industry in the Gross State Domestic Product is 7%, and its share in the Industrial Gross State Domestic Product is 15%.²⁷ Maharashtra plays a pivotal role in India's food processing sector, accounting for 13% of the country's food processing activities. The state's food processing sector

also sees a relatively high growth rate of 12%.²⁸ Maharashtra is home to 8.12% of all the registered food processing factories within India, with as many as 3,040 food processing units, as well as many more informal and small-scale unregistered units.

The key food processing industries in Maharashtra include sugar, dairy, poultry, rice mills, flour mills, edible oil, vanaspati, and fruit and vegetable processing. Major crops available for primary and secondary processing in the state include rice, wheat, soybean, jowar, grapes, pomegranates, and mangoes.²⁹ Additionally, Maharashtra is the hub of the wine industry, accounting for nearly 90% of the country's wine processing.³⁰

26. Decadal Outlook for Textile Industry, Primus Partners, 2023. <https://primuspartners.in/docs/documents/D6ZUaWupeM1le2bxQ5jl.pdf>

27. Maharashtra Industrial Development Corporation. <https://www.midcindia.org/focus-sectors/food-processing/>

28. Maharashtra Industry, Trade and Investment Facilitation Cell. Accessed August 2024. <https://maitri.mahaonline.gov.in/PDF/Food%20Processing%20Sector.pdf>

29. Maharashtra Economic Development Council. Economic Digest. November 2021. https://www.medcindia.com/upload/MEDC-Digest-NOV-2021_compressed20211108174538.pdf

30. Ibid.

The state also plays a major role in dairy processing, with a total of 76 dairy cooperatives in the state.³¹ The food processing industry in Maharashtra has been traditionally located within three key

regions, namely Solapur-Pune, Ahmednagar-Nashik, and Nagpur-Amravati, but a second generation of infrastructure development is expanding food processing activities across the state.



Major Food Processing Hubs in Maharashtra, Source: Maharashtra Industrial Development Corporation, Link



31. PIB Press Release, 2022. <https://pib.gov.in/PressReleasePage.aspx?PRID=1812372>

The following gaps need to be fulfilled for the agro processing industry to expedite its growth.³²

- Cold chain capacity remains highly inadequate, marked by a lack of cold storage and warehousing facilities, coupled with substandard infrastructure in existing cold storage units.
- The supply chain of agricultural produce is fragmented, dominated by many local traders and intermediaries who capture a significant share of farmers' incomes, leaving the latter with little to no realisation of profits.
- There is a notable lack of forward and backward integration between farms, processing units, and markets.
- The high cost and unavailability of suitable packaging materials hinder the proper packaging of highly perishable and fragile agricultural products, reducing their shelf life.
- Outdated technology and obsolete techniques in the supply chain result in increased post-harvest losses and inefficiencies in operational activities. Moreover, farmers often lack awareness of best practices in post-harvest management.
- The absence of quality standards to meet international export criteria, poor hygiene and safety standards, and a lack of product safety controls due to manual handling and the absence of tracking and traceability systems remain significant challenges.
- Farmers lack access to information on daily pricing, market demand, intermediaries involved, food processing units, etc.
- As it grows, the food processing industry needs to adhere to environmental objectives within its supply chains.

Product	Key Processing Locations
Fruits	Nashik, Ahmednagar, Pune, Satara, Solapur, Osmanabad
Jaggery Processed Foods	Kolhapur, Pune, Satara
Fruits Processing	Pune, Aurangabad
Pulses Processing	Nagpur, Jalgaon
Prepared Foods	Dhule, Beed
Bakery Products	Mumbai, Jalna, Jalgaon
Beverages	Nashik, Raigad, Solapur
Fisheries	Thane, Raigad, Ratnagiri, Sindhudurg
Milk	Pune, Satara, Sangli, Nashik

Key Agro Processing Locations in Maharashtra by Product, Source: Maharashtra Industrial Development Corporation

³². Ibid.

Schemes

The government of Maharashtra realises that there is a need for institutional support for encouraging women entrepreneurship in the state. Consequently, the state has plethora of schemes to help the new age entrepreneurs. The following are some of the major schemes governing the food processing and textile sectors: -

1. Dr. Babasaheb Ambedkar Krishi Swavalamban Yojana³³

Under the Dr. Babasaheb Krishi Swavalamban Yojana, which is run by the State Government's Agriculture Department, farmers who belong to Scheduled Castes and Neo-Buddhist communities and have landholdings ranging from 0.20 to 6 hectares and an annual income of up to ₹1.50 lakh are eligible for 100% financial assistance. By providing sustainable irrigation facilities, such as in-well boring, pump sets, electric connections, micro-irrigation systems, farm pond plastification, new well construction, well repair, and more, the program seeks to increase farmers' economic income. Specific grants under the scheme include ₹2.50 lakh for a new well, ₹50,000 for well repair, ₹20,000 for in-well boring, ₹20,000 for a pump set, ₹10,000 for electric connection, ₹1 lakh for farm pond plastic lining, ₹50,000 for a drip irrigation set, ₹25,000 for a frost irrigation set, ₹30,000 for PVC pipes, and ₹500 for Parasbagh. The scheme is available in all districts of the state, except Mumbai, Sindhudurg, Ratnagiri, Satara, Sangli, and Kolhapur.

2. Crop Pest Surveillance and Advisory Project (CROPSAP)³⁴

This cutting-edge program, which was started in 2009–10 by the Department of Agriculture, Government of Maharashtra, under the Rashtriya Krishi Yojana, intends to create a scientific method for pest surveillance and real-time monitoring of major pests affecting important crops like Soybean, Cotton, Tur, and Gramme. The program identifies pest hotspots and provides farmers with pertinent advisories, covering 33 districts, 89 subdivisions, and 30,000 villages. Agro-meteorologists, entomologists, pathologists, statisticians, and computer specialists work together to create this program, which also provides enrolled farmers with free SMS services for pest management. Its goals are to monitor diseases and pests, educate farmers about pest control, and supply chemical and biological pesticides at a reduced cost in times of need. Crops like rice, soybeans, cotton, corn, gramme, sugarcane, wheat, and sorghum are all included in the program.

3. Bhausaheb Fundkar Falbag Lagvad Yojana³⁵

Launched in the Kharif season of 2018–19 by the Maharashtra Agriculture Department, the Bhausaheb Fundkar Falbag Lagvad Scheme offers farmers who are not registered under MGNREGA a 100% subsidy. By planting 16 perennial fruit crops, the program seeks to increase farmers' income, employ young farmers, encourage sustainable cropping practices, and increase the production of raw materials for agro-processing industries.

33. <https://mahadbt.maharashtra.gov.in/Farmer/SchemeData/SchemeData?str=E9DDFA703C38E51A986837A04E50D9EF>

34. <https://darpg.gov.in/sites/default/files/teaching%20note%20CROPSAP.pdf>

35. <https://www.myscheme.gov.in/schemes/bhausaheb-fundkar-horticulture-plantataion-scheme>

Under the scheme, beneficiaries receive financial assistance over a period of three years, with subsidies being directly credited to their bank account linked to Aadhaar. To be eligible, recipients must sustain a minimum of 80% plant survival during the initial year and 90% during the subsequent year. Mango, Cashew, Guava, Sapota, Custard

Apple, Pomegranate, Paper Lemon, Coconut, Tamarind, Fig, Amla, Kokum, Jackfruit, Jamun, Orange, and Mosambi are among the crops that are included in the scheme. Under this scheme, farmers can plant anywhere from 0.10 to 10 hectares in the Konkan division and 0.20 to 6 hectares in the rest of Maharashtra.

4. Rashtriya Gokul Mission:

The Rashtriya Gokul Mission (RGM), launched in December 2014, focuses on the development and conservation of indigenous bovine breeds to enhance milk production and productivity, making dairying a more profitable venture for rural farmers. The mission, continued under the “Rashtriya Pashudhan Vikas Yojna” from 2021 to 2026 with a budget allocation of ₹2,400 crore, aims to benefit all cattle and buffaloes in India, particularly those owned by small and marginal farmers. Thanks to better livestock management techniques, it empowers women, who make up more than 70% of the workforce in livestock farming. RGM’s main goals are to increase milk production and bovine productivity in a sustainable manner by using cutting-edge technologies, to encourage the use of high genetic merit bulls in breeding, to increase the coverage of artificial insemination by fortifying breeding networks, and to support the scientific, holistic rearing and conservation of native cattle and buffaloes.

5. Integrated & Sustainable Textile Policy:

The Integrated and Sustainable Textile Policy 2023-2028, aligned with India’s 5F vision—Farm to Fiber to Factory to Fashion to Foreign—aims to integrate and enhance the textile value chain for sustained industry growth. The policy’s main objectives are to promote sophisticated infrastructure and technology advancements as well as raise cotton processing capacity from 30% to 80% in five years. It aims to bring in ₹25,000 crore in investments and generate a maximum of 50,000 jobs. The policy also highlights skill development, creating six Technical Textile Parks with private investment, and empowering women in the industry. In addition to establishing the Maharashtra Technical Textile Mission and the Maharashtra State Textile Development Corporation to supervise sector development, it places a high priority on research and development for environmentally friendly processes. It also uses IT to enhance business processes and encourages the expansion of the traditional textile industry.

36. <https://www.myscheme.gov.in/schemes/chief-minister-agriculture-and-food-processing-scheme>

6. Tyala Shettale Yojana/Chief Minister Sustainable Agriculture Irrigation Scheme:

The Ministry of Agriculture, Animal Husbandry, Dairy Development, and Fisheries, Maharashtra, introduced the "Magel Tyala Shettale" (Individual Farm Pond) scheme in 2022–2023 with the goal of helping farmers by offering financial aid for building farm ponds. To mitigate the effects of water stress on the state's 82% of rain-fed agricultural land, protective irrigation is provided to minimize crop losses from erratic rainfall. The subsidies vary in amount based on the size of the pond, from ₹14,433 to ₹75,000. In the Konkan area or the remaining portion of Maharashtra, qualifying farmers must own a minimum of 0.20 hectares of land, or 0.40 hectares. Through the Maha-DBT portal, where they can apply for the program, beneficiaries are chosen online. Upon completion of the farm pond, the PFMS system directly credits the subsidy to the farmer's bank account linked to Aadhaar.

7. Chief Minister Agriculture And Food Processing Scheme³⁶

The goal of the Chief Minister Agriculture and Food Processing Scheme is to support contemporary technology-based projects that increases agricultural value addition, improves product quality, and encourages exports. Through the establishment and modernisation of small and medium processing units, it focuses on creating jobs and developing skilled labour for the agro and food processing industries in rural areas. The establishment of pre-processing centers, integrated cold chain facilities, and the modernisation of food processing units are important components of the plan. When building a factory and purchasing machinery,

financial aid is given as a 30% subsidy (up to 50 lakh), which is paid out in two instalments after the project is finished and full commercial production is achieved. The loan amount must be 1.5 times the subsidy.

8. Maharashtra Atal Bamboo Samruddhi Yojana

The Atal Bamboo Samruddhi Yojana, initiated by the Maharashtra Government in 2019, encourages bamboo cultivation to address climate change and boost farmers' incomes. A 50% subsidy on the ₹350 per plant cost is available to farmers who plant up to 1,200 bamboo saplings over a 2-hectare area. The subsidy is paid in three instalments: ₹90 in the first year, ₹50 in the second year, and ₹35 in the third year. To continue getting benefits, the program necessitates planting bamboo saplings at a 5 by 4 meter spacing and keeping at least 80% of the plants alive. Based on geotagged images that are submitted to the Maharashtra Bamboo Development Board, subsidies are given out. *Oxytenanthera Stocksii*, *Tulda*, *Asper*, *Nutan*, *Brandisii*, *Balcooa*, and *Strictus* are among the bamboo species that qualify. The program, which also enables farmers to profit from the sale of mature bamboo, is managed by the Forest Department.

9. Financial Assistance to Disabled for Self-Employment³⁷

The scheme by the Department of Social Justice & Special Assistance, Govt. of Maharashtra aims to facilitate the self-employment of unemployed disabled persons. Under this scheme, financial assistance is provided to persons with disabilities for self-employment, small-scale business, and agro-based project with an annual income of up to ₹1,00,000.

37. <https://www.myscheme.gov.in/schemes/fadse>

Only citizens who are permanent residents of the state of Maharashtra are eligible to apply for this scheme. Under the scheme, financial assistance of up to ₹1,50,000/- is provided

where 80% loan amount is provided by the bank and 20% subsidy of up to ₹30,000/- is provided by the Department of Social Justice & Special Assistance.

Insights from the Pune Roundtable



Women entrepreneurs at the Pune roundtable

A roundtable was held in Pune on the 4th of September with 20 female entrepreneurs in the MSME sector, largely from the textiles and agro-processing sector.

The women entrepreneurs shared the following insights into the challenges they encounter in their line of work and the opportunities available to them.

Financial Inclusion

Earning Banking Sector Trust through Solid Documentation

- The fruit of the long-standing women's movement in Maharashtra, spearheaded by stalwarts like Dr. Sudha Kothari, is visible in how well-versed the women entrepreneurs at the roundtable were with government schemes, loan application processes, and business-related procedures.
- The women entrepreneurs described their current experiences with loan applications as relatively smooth, in large part because they diligently prepared the necessary documents beforehand, such as Udyam Registration, Aadhaar card, PAN card, current account statements, etc. For some, it took up to two years to have all the required paperwork in hand.
- Over time, the women noticed a shift in how they were treated by bank officials, who now show them more respect than in the past. When there were lingering doubts about whether the women could provide the required documents, they were treated poorly. Banks rarely provided a comprehensive list of requirements upfront and later flagged issues with the documentation provided, forcing the women to take multiple trips to and fro. Today, after multiple successful loan applications and repayments from the community, the banks show more faith.
- A facilitator emphasised that women entrepreneurs must be "perfect" and cannot give banks any excuse to refuse their applications.

Success Stories in Growing Businesses through Credit

- Under the CM Employment Generation Programme (CMEGP) scheme, a group-run women's enterprise is slated to receive a loan of Rs. 8 lakh, which is in process.
- In 2016, one of the women received an advance loan to open a papad business, but could not follow through because demonetisation made financial transactions difficult. She used the money to open Fixed Deposits in her children's names, and then later took a loan of 3 lakhs from the bank. This loan allowed her to scale her business significantly.
- A female tailor and fashion designer started with a small and simple Sathi sewing machine. She slowly upgraded her machinery over time, with a loan of Rs. 5,000 from a Mahila Bachatgadh, and then a loan of Rs. 50,000 from a Mahila Federation. Today, she has 6 advanced machines capable of fall, pico, interlocking, etc.

Skill Development

Pride and Prosperity: The Transformative Capacity of Entrepreneurship

- A female entrepreneur associated with Chaitanya since 2006 started off doing tailoring at home, but did not receive many customers. After receiving financial literacy training (which is offered by SEWA, Friends of Seva, FWWB, Mahindra & Mahindra, etc.), she opened her own tailoring shop and began to make readymade clothes. As she received orders from far away, she went from earning Rs. 2000 in a month to Rs. 3000 in a day. Leveraging her years of experience, she taught 20-30 ladies as a Master Trainer with the Jan Shikshan Sansthan, for which she received a National Award and recognition from the government. She is now a Master Trainer at the Chaitanya Kala Maitri collective enterprise. Providing training to women kicks off a virtuous cycle.
- A female entrepreneur started a dry fruit, ghee, masala, and laddoo business under her family's name. Her mother-in-law makes the products and she handles marketing. Their products are uniquely targeted to working women, who want healthy food but do not have the time to make it themselves. The duo's dream is greater market expansion. Though well-educated and employable in the mainstream job market, they prefer to build something of their own.
- In a remote area of Pune, a woman with limited education was part of a government-promoted self-help group where profits were distributed after five years. Eager to start her own venture, she teamed up with four other women to learn how to prepare diet kits and embroider purses. Today, she earns around Rs. 25,000 a month. She takes pride in earning more than many salaried corporate workers, despite having only studied up to the 10th grade. She also feels a sense of accomplishment in being able to travel by flight for exhibitions, given her humble beginnings.
- An enterprise taught women to stitch scrunchies. Once 50 women joined the unit, a fashion show was arranged with transgender individuals as models. The show received a highly positive response.



Harnessing YouTube for Skill Development

- A self-taught fashion designer consistently re-trains herself through YouTube tutorials, learning new techniques to cater to changing trends.
- In Pune during the first COVID-19 lockdown, a woman entrepreneur identified the required papad-making machinery for her business from YouTube, ordered it from Rajkot, and received it at her doorstep.
- The effectiveness of YouTube for free upskilling highlights the urgent need to close the digital divide between men and women to ensure they can reap the various benefits of Internet and smartphone adoption, particularly the wealth of readily available knowledge online.

The Importance of Strategic Business Planning and Presentation

- Women entrepreneurs gained valuable insights from Entrepreneurship Development Programmes (EDP), especially training on how to create business plans. These plans enabled them to systematically outline their marketing strategies, procurement methods, customer demand, necessary one-time investments (such as sewing machines and gas burners) and anticipated recurring costs. Funded through CSR support, the EDP provided start-up investments for these businesses. Over 16,000 women in Maharashtra benefited.
- The need for improved expense tracking was also highlighted in the programme. For instance, purchases like gutka and tambaku made by husbands often go unrecorded in the household budget, leading to an inaccurate picture of cash flow.
- At an entrepreneurship summit in Kolkata focused on millet products, the EDP programme assisted a woman entrepreneur selling millet laddoos and biscuits in preparing an evidence-based PowerPoint presentation to attract investment. She conducted research on young consumers, with a treatment and control group to demonstrate the positive health impact of her products. Presenting this research to customers and investors proved to be highly effective.



Integration with Family: The Key Role of Family Support

- One participant, a trained midwife and nurse, initially worried that her husband and in-laws would disapprove of her working night shifts. However, she eventually earned their support, and together they established various ventures, including an ambulance service and a sanitary pad business. She credits her mother-in-law's support as a key factor in her success.
- For many women entrepreneurs, the primary motivation for their ventures is to support their families.

Although many of the women had saved money, unexpected family events like illnesses or weddings often drained their funds.

- Husbands play a significant role during the initial setup of their wives' businesses. A common challenge is that many women have joint bank accounts, with their husband's phone number linked to the account. This creates difficulties when women visit the bank alone. Additionally, their husbands' phone numbers are also often linked to the women's Aadhaar and Udhyaam cards.

Ensuring Full Capacity Utilisation

- Sharing machinery and factory premises allows small businesses to gain access to high-cost technology and equipment.
- To ensure full capacity utilisation, a woman entrepreneur operates as a joint business with another – one person uses the machine at night, and the other in the morning, ensuring it is operating constantly.
- A gravy masala business diversified income streams by offering services like peeling garlic and onions for caterers in bulk using their peeling machine. The machine was also selected for its multipurpose capabilities to maximise its usage.



Market Connect

Need for Awareness of Market Demand and Local Customer Profiles



The women entrepreneurs who actively sought out and adapted to local opportunities as they arose saw success. For instance, women tailors living near industrial zones secured a steady stream of orders from industries, producing aprons, uniforms, etc. To maintain these contracts, they were required to meet industry standards for timely delivery.



During the COVID-19 lockdown, one of the tailors pivoted to making cloth masks and promoted her products on Facebook. She hired four additional women and produced a total of 1 lakh masks for nearby industrial workers.

Door-to-Door Marketing



A woman entrepreneur selling food items took marketing into her own hands by going door to door to promote her products and distributing pamphlets, developing her marketing skills entirely through hands-on experience. As widespread awareness of her offerings grew, customers began seeking her out, and now people come directly to purchase from her.



Empowering Women Entrepreneurs through Weekly Markets

01

Although there is significant investment in skill development, connecting women entrepreneurs to markets remains a relatively underworked area. Government skilling initiatives are narrow-sighted; vulnerable communities require not just skilling, but end-to-end support and handholding. Capacity must be built for the entire value chain of production.

02

Establishing weekly stalls, rather than just annual exhibitions, to invite various women entrepreneurs to sell their products has proven to be a successful initiative that could be further supported at the policy level.

03

Not only do regular stalls and exhibitions help access wider markets, they aid in building a network. Government officials are invited to these stalls and can become key future points of contact when loans and additional support are required.

04

At the Saras Aajeevika Mela, part of the National Rural Livelihoods Mission, two women entrepreneurs were provided free travel, a stall, and an honorarium. Despite minimal preparation, they earned Rs. 1.75 lakh at the event and believed they could have reached Rs. 8 lakhs with better sales training.

05

Participation in these markets should be preceded by detailed training on product packaging, quality, and presentation. Those women who are unable or unwilling to conduct end-to-end business, and prefer to focus on one aspect of the value chain, can benefit from joining collectives like the Kala Maitri or Swayam Sahayata Samuh. There, they can get support for procurement, production, sale, etc., and obtain strategic guidance.

Rethinking Performance Indicators for Women's Entrepreneurship: The Case Against Scale and Standardisation

- Many argue that uniformity, scale, and efficiency should be deprioritised as performance indicators of female-run cottage industries. Indeed, standardisation may be inherently inimical to their work. While quality should be non-negotiable, uniformity should not be the objective. To illustrate the difference between quality and standardisation, the example of homemade papad was considered: it must meet food safety standards, but it cannot have the roundness of a machine-made equivalent.
- Major clothing brands selling handmade products often demand that items be perfectly uniform in design, size, and colour across all units. Even minor variations can lead to purchase orders being rejected. It is important to recognise that each woman artisan takes personal ownership and crafts her products by hand. Procurement norms should respect this individuality.
- Woman artisans cannot and should not be expected to compete with large-scale, assembly line producers. A large company will always be able to buy a better machine, make a more uniform product, achieve cost-efficiencies through economies of scale, and spend more on marketing. Small entrepreneurs, especially those engaged in manual work, cannot win by competing on their terms.
- Instead, women entrepreneurs should carve out a niche in their marketing strategies. For example, design variations in handmade textiles and handicrafts should be promoted as unique, cherished elements. For food products, the focus should be on the segment of nutritious, high-quality, and homemade options.
- Corporate and government buyers must keep in mind that MSMEs would be unlikely to have the capacity to meet large-scale orders, and instead place staggered or distributed orders. Moreover, the investment can be done out of CSR budgets.
- However, others argue that businesses cannot be driven by emotions if they want to compete with other players in the market. In the social sector, we may view things differently, but customers expect a consistent product. A clothing retailer might give in and accept an order with design inconsistencies, but if it fails to sell, they will eventually stop placing orders altogether.
- To support women entrepreneurship, customer mindsets would need to evolve in the long term to challenge the prevailing market-driven narrative. We should learn to appreciate the value of unique, handmade products, and focus on utility rather than packaging.

Innovation and Adaptability: The Journey of a Gravy Masala Enterprise

- An enterprise selling gravy masala exemplified innovation through openness to feedback. The product was formulated incrementally, with step-by-step tweaks to improve shelf life and flavour.
- Constructive feedback was actively sought from the market. Customers were requested to share feedback on social media like Facebook and Instagram, no matter whether positive or negative. If any negative feedback was received (e.g. too much elaichi in the gravy), the product was reformulated and re-sent to the same customer.
- Over time, customer preferences for functional and attractive packaging were noted; if the product spilled, no customer would buy it. With the help of a loan, the team purchased a better sealing machine to address this issue.
- To ensure consistent quality control while providing flexibility, the women employed in the business make the gravy at home but packing, marketing, and branding are conducted in one place. Large orders are taken and divided among the women. A detailed SOP is circulated among them, including the recipe, exact grams of ingredients used, time taken to complete each step, etc. The designated taste testers for the product are aged women, who know traditional flavours best.
- The business currently offers 15-16 SKUs. To prevent excess inventory, they closely monitor the average number of customers and produce only a small surplus, which can be used at home if unsold. Special gift baskets and dedicated stalls are introduced during busy festive seasons like Ganesh Chaturthi and Diwali.



Beyond Achar, Papad, and Chutney: Training in Non-traditional Businesses

- A woman entrepreneur started a wiring harness business of her own in 2019, following a suggestion from her husband's friend. She did not have any prior experience in the field, so she hired an operator, rented a machine, and began to understand the operation and maintenance of the machine from him. She largely learned through observation, as the operator was initially unwilling to let her touch the machine, out of fear.
- After a year, she gained a full understanding of the machine and let the operator go, who left to start his own business. Though only educated up to the 10th grade, she recognised that running her own business required her to sharpen her technical skills. From creating two harnesses a day, she now runs a large business with 6-7 machines and hires an all-women workforce to operate them.
- She never applied for a loan, as she started off by taking support from her husband's savings and then reinvested business earnings into growth. Whenever there was a working capital crunch, she would pay salaries out of pocket.
- Sometimes harnesses would be rejected due to quality issues, but she still had to pay fixed costs and take responsibility to improve quality over time.



Regulatory Aid

Auditing and GST Filing: Best Practices

- While many of the women entrepreneurs present initially did not file for GST, they were required to do so once they obtained their Shops and Establishment licence.

Some argued that women entrepreneurs and self-help groups (SHGs) should receive higher GST concessions or complete waivers due to their unique challenges.
- However, a facilitator emphasised the importance of adhering to rules and regulations, especially for those aiming for significant growth in their products. If they aspire to sell in malls or export their products in the future, filing GST is essential. Even with a relatively small turnover, hiring a chartered accountant (CA) and conducting regular audits can help entrepreneurs monitor their turnover and establish a business identity, making it easier to secure loans. Whether a business has a turnover of Rs. 1 lakh or Rs. 1 crore, maintaining good practices like auditing and GST filing is advisable.



Lack of Awareness Around Business-Specific Regulatory Requirements

- Though nursing is the main profession for a woman entrepreneur, she sought to diversify her sources of income. By participating in an exhibition, she gained the confidence to start a small business selling batter for idli, dhokla, etc. Through word of mouth, she sold her food products among the doctors in her hospital. However, she was unaware until recently that lab testing was required for packaged food items, until she was informed by the Mann Deshi Foundation. She plans to avail of their free testing facilities and comply with this regulatory requirement moving forward.

Need for Proactiveness from Government Officials and Community Representatives

- Government officials interacting with the MSME sector, such as those from the MSME Development and Facilitation Office and Block Development Officers, need to be proactive in their outreach. It is their responsibility to take initiative in building connections and earning trust, rather than wait for beneficiaries to approach them.
- A woman faced difficulties in communicating with the Gram Panchayat, as they were unwilling to engage with anyone but a male member of the household. She was from a lower caste and her husband had passed away. She camped outside the Panchayat until her concerns were heard.
- The Community Resource Person (CRP) plays a crucial role in the successful implementation of schemes. Women participants noted that a strong work ethic from the CRP ensures smooth processes for loan disbursement and other tasks. One woman encountered a problem when her loan application did not reach higher authorities and taluka-level officials because the CRP had not forwarded it. It was only after a facilitator intervened that the loan was approved. Though she required the loan before Diwali, she was not able to receive it on time. CRPs associated with key initiatives like the UMED Maharashtra State Rural Livelihoods Mission need to embody compassion, discipline, and timeliness.
- Fortunately, things today are gradually changing as more and more government officers are young women, who can relate better to the experiences of these entrepreneurs.

Lack of Continuous Flow of Income: Seasonality of Enterprises and Income Shocks

- Most of the women entrepreneurs worked in seasonal occupations. As such, they faced continuous fluctuations in their income. All enterprise-related interventions must keep the seasonality of labour in mind.
- For example, papad cannot dry during rainy seasons. A woman entrepreneur making papad works in wiring and soldering at a cable-making company during the off-season, for four months of the year. While the pay at the job is much lower than from her business activities, she does not want to sit at home for days on end.
- A woman entrepreneur whose husband is paralysed and kids are young is looking for something to do in the off-season to ensure that her household flow of income is continuous.
- Beyond the ebb and flow of the business cycle, small businesses are particularly vulnerable to shocks like the COVID-19 pandemic. Many women entrepreneurs went into loss after the pandemic and the most vulnerable communities could not manage household expenses. Targeted support mechanisms should be provided during widespread income shocks.



Women entrepreneurs speaking at the Pune roundtable

Insights from the Mumbai Roundtable



The PIF team with the esteemed attendees of the Mumbai roundtable

Various government officials, industry association members, bank officials, entrepreneurs, and experts of women entrepreneurship joined a roundtable discussion in Mumbai. During the discussion, the following key insights into the challenges and opportunities associated with women entrepreneurship in the MSME sector emerged.

Financial Inclusion

Taking Ownership of Businesses and Money Matters

- Women are often highly involved in production, but business extends far beyond that. Many women create products but rely on others to manage the financial aspects of their enterprise. Women need to actively participate in sales, marketing, management, and financial accounting, and remain involved in maintaining the overall well-being of the business to reap higher benefits from their labour. This requires the development of financial literacy skills, and a sense of Atmavishwas (self-belief).
- It was highlighted by many that women entrepreneurs do not manage their own finances, both in the business and personal realms, instead relying entirely on their husbands. Seeking help where required is fine, but they must ultimately take ownership of their money. Financial independence is closely tied to one's identity, and receiving an allowance from one's husband does not equate to earning an income.

Need for Strong Financial Self-Representation

- Female-owned businesses often lack technical soundness on paper. Poor accounting practices are widespread, often due to the blending of household and business expenses.
- Women must be equipped with skills like budgeting and proposal writing to submit strong project proposals to financial institutions for loan applications.
- Women should represent themselves confidently in financial matters, including accounting for their own labour charges in budgets, which they often overlook.

Market Connect

Quality Concerns: Need for Improved Finishing and Design to Meet Market Requirements

- Trainers have noticed a lack of refinement in the textile work of traditional female entrepreneurs, particularly in terms of finishing and softening. For example, harsh carpet wool is often used in blankets. At times the fabric ends up sticky, requiring thorough cleaning before use. The products thus fall short of the quality expected by buyers.
- Design plays a critical role in textiles, as clothing styles must be current and competitive. However, training sessions typically only teach women to use basic sewing machines. In modern production, stitching a single pair of jeans can involve 40-50 specialised machines, with units producing thousands of pieces at a time. For textile entrepreneurs to compete in the market, technological upgradation is essential.
- Traditional textile-making methods continue to dominate. There is an urgent need to disseminate information on quality standards and technological knowhow, particularly in the rural hinterland of the state.

Expanding the Reach of Public Procurement

- The government should prioritise increasing visibility for women's products by actively championing them and sourcing from them. While large cities like Mumbai and Pune see active government sourcing from small-scale women entrepreneurs, it is uncertain whether this practice extends to areas like Nasik, Nagpur, and beyond. It is crucial to include suburban and rural regions in these government efforts.
- NGOs frequently remind government officials about women in their community who have established tiffin services, cake-making cloud kitchens, and similar ventures, but they receive little enthusiasm or support in response.

Skill Development

Legacy of Women's Education and Empowerment in Maharashtra

The movement to educate and empower women has a long history in Maharashtra. The Maharshi Karve Stree Shikshan Samstha was established in 1896 by Bharat Ratna Maharshi Dhondo Keshav Karve to provide shelter to destitute women. Today, with branches across Maharashtra, the institution offers specialised courses like Fashion Technology, Architecture, Nursing, etc., and plans to expand to cutting-edge areas like Data Science, Artificial Intelligence, Machine Learning, etc. Over 35,000 students benefit from these courses.

The Maharashtra Skill University (MSSU) offers various courses, including six-month, one-year, and two-year programs through the Maharashtra State Board of Skill Vocational Education and Training (MSBSVET). Previously known as Employment Exchanges, this department is now referred to as the Skill Directorate, which is headquartered in Navi Mumbai. The Maharashtra State Skill Development Society (MSSDS) implements short-term courses such as the Pradhan Mantri Kaushal Vikas Yojana (PMKVY) and the Maharashtra Skill Innovation Mission (MSIMS). DVET is responsible for executing major schemes like the Craft Training Scheme (CTS), Apprenticeship Training Scheme (ATS), bifocal vocational training, etc.

For trainees in the ninth and tenth grades, there are schemes known as pre-vocational training. For those in the twelfth grade, options include bifocal courses and Higher Secondary Education (HSE). Under the Craftsman Training Scheme (CTS), there are 152 trades available across India, with 85 training programs specifically in Maharashtra.

Currently, there are over 419 government Industrial Training Institutes (ITIs) in Maharashtra and 505 private ITIs, totalling more than 1,000 institutions with a combined seating capacity of over 200,000. Among these, 15 ITIs are designated specifically for women, with a 30% reservation for female trainees. However, over the past five years, female participation has remained low, with women's enrolment stagnating at around 17%.

There are notable success stories as well. Madhvi Industrial Training Institute (ITI) in Nandurbar district, which serves a tribal community, offers training in cutting, sewing, and dressmaking trades. Female trainees from this ITI are highly motivated, achieving a 100% graduation rate and 0% attrition rate. These trainees are more eager to pursue apprenticeships than urban and suburban counterparts. After completing their training, they secure full-time apprenticeships for one year at Vada Thana, a cloth-making company.

Importance of Flexibility

A trainer highlights the crucial role of flexible scheduling when offering skill development courses to working women. Since these women juggle both professional and household responsibilities, the trainer adjusts the timing of her courses according to their availability. For instance, the Koli fisherwomen she works with can only attend training for an hour in the afternoon, around 3 pm, before they need to leave to prepare for the opening of the fish markets at 5 pm.

Breaking Barriers in the Male-Dominated Construction Industry

- A woman entrepreneur who runs a real estate company sought to challenge the male-dominated nature of her profession. When she launched her first project as a developer, she hired an all-women team.
- The construction field is a key employer in India. Many men migrate to states like Maharashtra to work in construction. At times, their wives come along with them, but stick to performing household duties. The burden of childcare needs to be addressed to facilitate women's involvement. While providing creche facilities may not be feasible on smaller construction sites, it is a more practical option in larger government or corporate real estate projects.
- When women do enter the construction workforce, they typically take on roles in masonry, handling tasks like loading and unloading, for which they earn no more than INR 200-300 a day. They rarely progress to better-paid positions such as contractors or painters. Women must aim to break into roles higher up in the construction value chain.
- Conversely, many female students studying civil engineering and architecture are hesitant to visit project sites, citing safety concerns and societal expectations related to gender roles.

Empowering Women in Waste Management

- Dr. Jyoti Mhapsekar, founder of the Stree Mukti Sangathan, is one of the most well-known faces of the women's movement in Maharashtra. While the NGO started with theatre and school-based programmes to spread awareness on women's issues, it began to work with waste pickers in 1999. The NGO aims to organise waste pickers into cooperatives, provide the women with health and counselling services, and educate their children so the next generation does not become waste pickers. More than 5,000 women have benefitted from the organisation's continued pursuit of its goal that waste-picking should be given its rightful place in the economy.
- No capital is required by waste pickers to set up, other than a sack on the shoulder, and waste can be picked up in the morning to be sold for instant cash in the evening. Though this profession involves a hand-to-mouth existence with immense health risks, it helps many run their households and promotes a circular economy for all.
- In Mumbai, about 8000 tons of waste are generated every day. As incomes increase, waste volumes are increasing. There is a big market for waste and great scope for business-building, but women continue to have low access to it. 80% of waste pickers are women, but waste management start-ups are male-dominated. Moreover, waste pickers have not been treated with respect in their interactions with these start-ups. Many waste pickers are self-employed, illiterate, migrants, single-parent households, and belong to the Dalit community.
- Though sustainability and waste management are key issues on the policy agenda, waste pickers are never in the picture. Cooperatives struggle to access CSR funding due to the lack of 80G certification. Other challenges in this sector include an 18% GST on waste-picking (compared to 5% earlier) that is borne by the waste pickers as recyclers pay them less, the lack of encouragement for waste segregation in Mumbai (compared to success stories like Indore), a low number of segregation sheds, the lack of technological upgradation (lack of balers, electricity, toilet facilities, etc. in segregation sheds), the lack of enumeration of waste pickers, etc.



Regulatory Aid

Vulnerability to Shocks

- Based on a speaker's research on the impact of droughts on women and children in Maharashtra across 4 villages, the following insights emerged. During periods of drought, women entrepreneurs need targeted support from the government and private sector. As they travel for many hours a day to collect water, many school-going children drop out during such periods and women's enterprises tend to suffer losses or shut down.
- Social stigma presents significant barriers to women's participation in mainstream society, and this phenomenon only rises during natural calamities. During droughts, cases of sexual harassment rise as women travel long distances to fetch water. They often face exclusion by dominant communities due to untouchability practices. Additionally, female children, rather than males, are typically tasked with collecting water, and accordingly are forced to forgo their education.

Lack of Awareness and Take-up of Schemes

- Stakeholders indicate that 300+ schemes are available for female entrepreneurs in Maharashtra but awareness among the intended beneficiaries is lagging. Clearer communication of the available policy support is essential. Digital technology must make such information accessible in all regional languages.
- The Maitri portal of the Maharashtra Industry, Trade and Investment Facilitation Cell offers a one-stop-shop for investors to receive consolidated information about the investment process. The portal would be greatly helpful for MSME sector entrepreneurs, but awareness of it remains low.
- A practical recommendation was to organise scheme applications by sector and target outreach to women within those specific sectors.
- Additionally, it was noted that state MSME policies closely resemble central policies and could be integrated to create a more streamlined process.

Diverse Composition of SHGs

- Self-help groups (SHGs) should aim to form diverse teams with complementary skills, such as tech-savvy individuals and those with strong interpersonal abilities, to build a well-functioning business as a whole.

Need to Ensure Dignity of Labour

- Women employed as sugarcane cutters in the fields of western Maharashtra face significant challenges, undertaking backbreaking work for 18-20 hours a day in the harvesting season, without basic hygiene facilities. Many women in their reproductive age are forced to undergo hysterectomies to be considered for work by middlemen, as they do not want them to take time off for menstruation.
- Women are often victimised to assault, facing violations of their bodies, dignity, and labour rights.

Lack of Decision-Making Power in the Household

- Women lag in terms of decision-making power at the household level, and so are held back when it comes to taking decisions at the business and industry level.
- Having a separate phone number for business purposes, along with a separate bank account from the husband, is important for women entrepreneurs. When women give out their husband's phone number in loan application processes and phone calls are picked up by the husband, the relevant information does not always percolate within the household.
- Additionally, women often struggle to obtain permission to travel long distances for training or exhibitions.
- During festivals or special occasions, increased domestic responsibilities prevent women from working. This caretaker role consistently acts as a barrier, as women remain deeply enmeshed in family matters.
- Women empowerment starts at home. Families should be made aware that they will reap benefits from the success of a woman entrepreneur. Schemes alone are insufficient; time, a structured process, and a supportive ecosystem are necessary for their growth and development.

Support for Accessing Global Opportunities

- Today, female trainees from Industrial Training Institutes (ITIs) have a variety of attractive global opportunities available to them in countries like Germany, Japan, and Israel, offering salaries up to INR 1.5 lakh per month, along with five-year visas.
- While these opportunities are highly lucrative, candidates must learn the relevant languages, obtain visas, and integrate into new communities while staying informed about their rights to prevent exploitation.
- The ITI demographic mainly consists of blue-collar workers with low literacy levels, leading to various challenges for the trainees. Support from both private and government agencies is crucial to help them seize these international opportunities.

Preparing Women for the Labour Market

- Traditionally, women are primarily involved in fields like sewing and cosmetology, but they often shy away from pursuing opportunities in engineering or other high-demand sectors.
- Many female trainees in ITIs struggle with communication skills, such as speaking and body language. They also require guidance on interviewing techniques and appropriate dressing.
- The formal sector has access to information about labour regulations and other benefits (e.g. self-defence training), whereas the informal sector does not. Efforts should be made to ensure that such information reaches informal sector workers.
- A NGO representative with legal training shared her experience supporting a female entrepreneur through a legal roadblock. The Income Tax Department raised concerns over unknown funding sources, though all relevant documentation was available. Having an advocate helped her navigate the situation, but legal support is not accessible to most small entrepreneurs.
- Counselling, ancillary support, and continued hand-holding are vital to help women identify career paths that align with market demand, acquire the soft skills needed for the labour market, and to thrive in their chosen fields.



Policy Recommendations

- Develop and implement comprehensive end-to-end business development training for women entrepreneurs, including budgeting, financial management, and proposal-writing to enable them to manage all aspects of their enterprise effectively.
 - Facilitate skill development for female entrepreneurs to enhance product quality, focusing on finishing techniques and up-to-date design, to ensure product competitiveness in the market.
 - Promote access to modern production technologies and specialised machinery to women in the textile industry to allow them to scale up operations and improve efficiency.
 - The government should actively promote and source products from women-owned businesses, ensuring that rural regions are included in procurement initiatives.
 - Design skill development training with flexible schedules to accommodate the time constraints of women managing both household and professional responsibilities.
 - Create a network of legal advocates to assist female entrepreneurs with compliance and regulatory issues, ensuring they have the necessary support to navigate legal challenges.
 - Increase outreach and communication regarding the various schemes available for female entrepreneurs, utilising digital platforms to disseminate information in local languages.
 - Promote the formation of diverse self-help groups with complementary skill sets to enhance the collective efficiency of the business.
- Implement awareness programs for families about the benefits of women's entrepreneurship, fostering an environment that supports women's decision-making power at home and in business.
- Create policies that formally recognize traditionally-overlooked sectors like waste pickers and sugarcane workers as essential contributors to the economy, ensuring they receive appropriate labour rights, protection, and access to social benefits.



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